If the stock price continued in his favor (down), then it would be completing a measured move down. Joe estimated that the measured move would take the stock to 28 and perhaps lower.

When the stock pulled back to the bottom trendline and headed down the next day, “I sold the stock short at 36.”

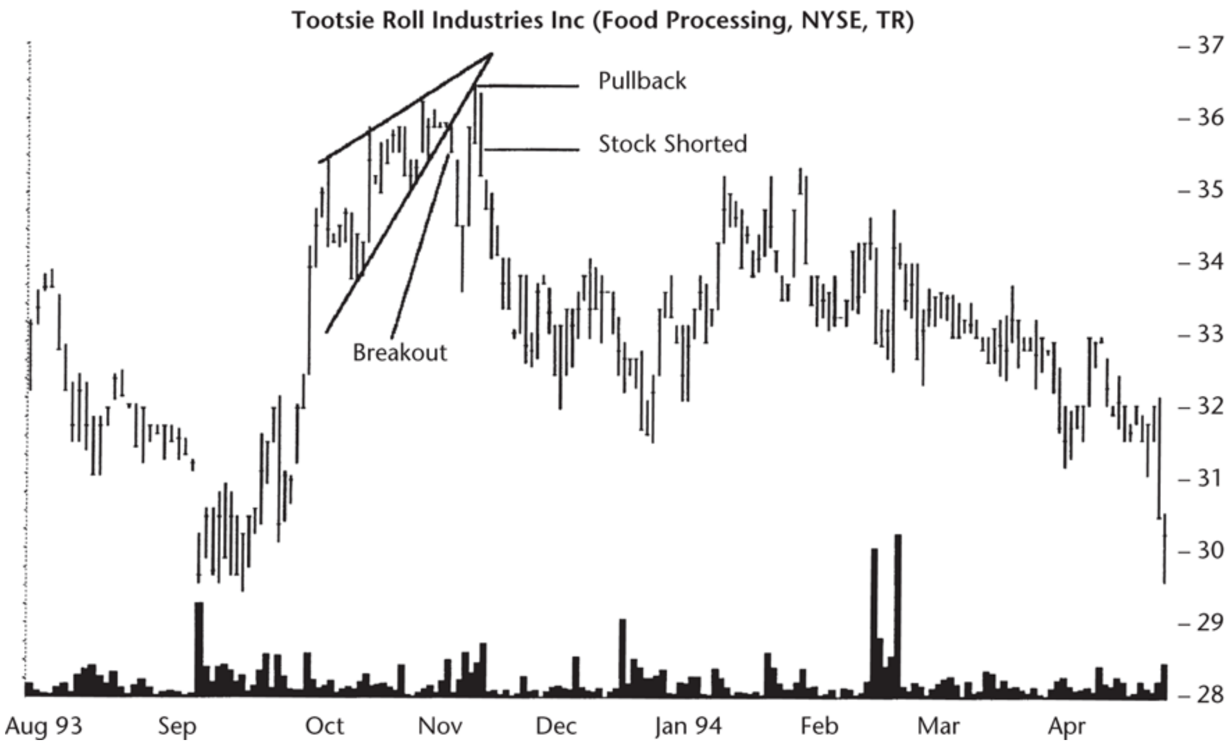

Figure 74.5 This rising wedge predicts price will fall to 33.75, and it does, in just 2 days.

He reviewed the measure rule that said the stock would fall to the bottom of the wedge for a decline of about 6% from the purchase price.

Joe watched the stock closely and was gratified to see price soon drop below the measure rule target of 33.75. Then the stock rebounded. As the stock climbed at the start of December, Joe reevaluated his short position. From what he was able to gather, the fundamental and technical situation had not changed, so he decided to sit tight.

Even as the stock climbed above 35 in January, Joe believed he was right. The tenacious attitude served him well on this trade, and the stock soon began heading down again. In May, the stock reached his target price of 30. “I considered covering the short, but didn't.”